7th Cycle Regional Housing Needs Determination (RHND)

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RHNA Subcommittee

WWW.SCAG.CA.GOV

RHND Process

- Population projections
- SCAG provides additional required data
- HCD consults with SCAG on assumptions and methodology
- HCD calculates the Regional Housing Needs Determination (RHND)
- SCAG may object; HCD issues a written response; RHND is considered final

RHND Process

✓ Data sharing opportunity

✓ Starting point for RHNA collaboration

X SCAG authority to determine regional housing needs

Southern California Association of Governments:
June 30, 2029 - October 15, 2037 (8 Years) HCD Determined
Population, Households, & Housing Need

Ref. No.	Steps Taken to Calculate Regional Housing Need	Amount
1	*Population: DOF 6/30/2037 Projection Adjusted 3.5 months to 10/15/2037*	*18,792,495*
2	*- Group Quarters Population: DOF 6/30/2037 Projection Adjusted 3.5 months to 10/15/2037*	*(394,638)*
3	*= Preliminary Household (HH) Population: 10/15/2037*	*18,397,857*
5	Preliminary Projected Households (Occupied Unit Stock)	*6,888,555*
7	+ Projected Apartment Style Student Households	*708*
8	**Total Projected Households**	**6,889,263**
9	+ Vacancy Adjustment for Projected Households	16,275
	+ Vacancy Adjustment for Existing Households	131,589
10	+ Overcrowding Adjustment	398,400
11	+ Cost-burden Adjustment	764,476
12	- Adjustment to account for HHs that experience both overcrowding and cost-burden	(259,849)
13	+ Replacement Adjustment Demolitions	6,889
14	+ Jobs Housing Relationship Adjustment	9,467
15	+ Homelessness Adjustment	38,646
16	+ State of Emergency Adjustment	8,056
17	*- Occupied Units (HHs) estimated projected June 30, 2029*	(6,643,462)
18	**Preliminary Regional Housing Need**	**1,359,750**
19	+ Replacement Adjustment Seasonal, Recreational, and Occasional Use	0
20	+ Feasible Jobs/Housing Balance Adjustment	0
Total	**7th Cycle Regional Housing Need Determination (RHND)**	**1,359,750**

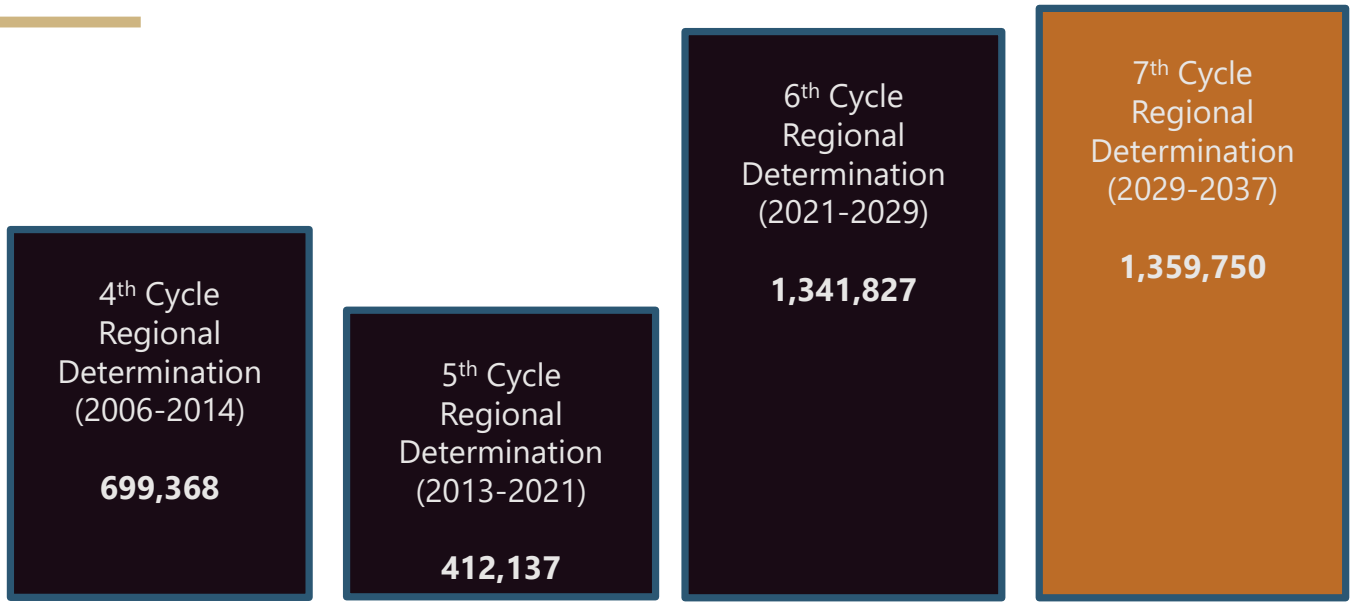
Projected Need

Existing Need

Total RHND

4

Regional Determination



RHND by Income Category

INCOME CATEGORY	PERCENT	HOUSING UNIT NEED
Acutely Low	10.4%	141,930
Extremely Low	13.3%	180,582
Very Low	14.0%	189,752
Low	19.0%	257,749
Moderate	9.2%	124,839
Above Moderate	34.2%	464,898
Total	**100.0%**	**1,359,750**

SCAG's RHND & Consultation Assessment

Strengths

- Commitment to a high quality, data-driven approach
- Clear documentation and explanations
- Addresses several challenges experienced in 6th cycle
- Recognizes the distinction between regional housing forecasts and planning for regional housing needs (CG 65584.01)

Areas of Differing Interpretation

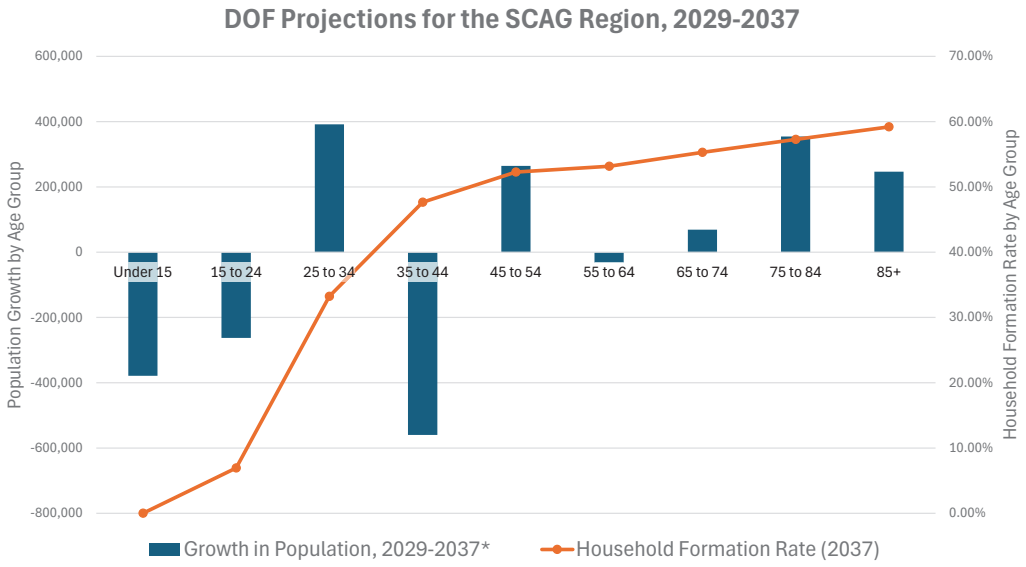
- Greater emphasis on statewide consistency than SCAG's understanding of GC 65584.01
- More piecemeal, item-by-item approach compared with SCAG's integrated long-range forecast of population, households, and employment
  - Reflects differing perspectives on how market dynamics and regional planning objectives should inform RHND

BREAKING DOWN HCD'S RHND FOR THE SCAG REGION

What is the region's *total housing need* over July 1, 2029 to October 15, 2038 (8.3 years)?

Population growth + changing age structure

"The department's determination shall be based on population projections..." GC 65584.01(a)



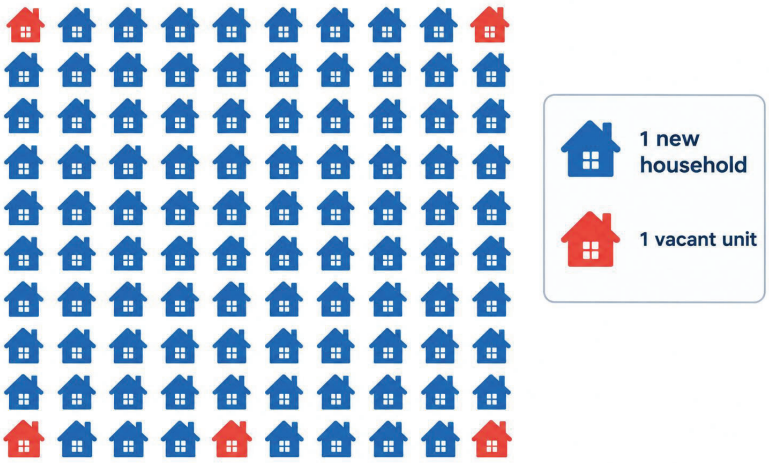
Data Source: DOF P3 Projections and Connect SoCal 2050 Preliminary Projections

- DOF projects total population will grow by 94,705
- Because growth is at high ages with high formation rates,
- this corresponds to an increase of 245,093 households

SCAG staff assessment of prior cycles' RHNDs

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
97% of total	35% of total	18% of total

Ensure that *future households* have enough "slack" in the market



- Per DOF + HCD, region will add 245,093 house**holds**, but to maintain a healthy vacancy rate, it needs slightly more **housing units:**
- HCD standard for renter market: 7 percent *(statutory minimum of 5 percent)*
- HCD standard for owner market: 2 percent
- Add 16,275 units

Note: Image generated by ChatGPT.

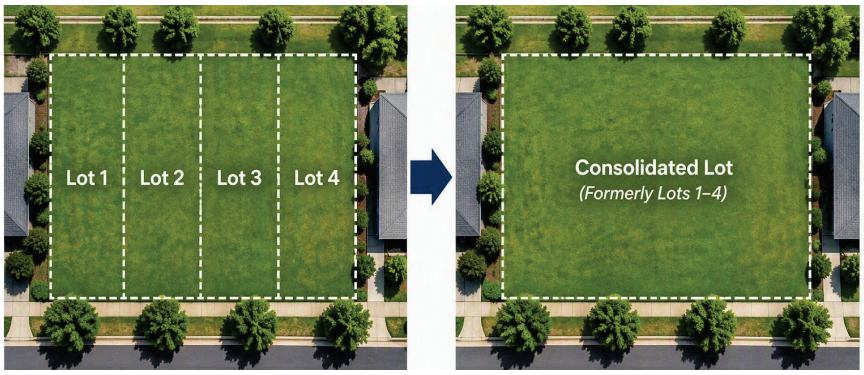
Add apartment-style student housing that is expected to be built in the region



- DOF surveys several regional universities' plans
- Census Bureau considers all student housing as "group quarters"
- Added to RHND so that when apartment-style student housing is built, cities can include them for RHNA purposes
- 708 units

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0%	0%	0.05%

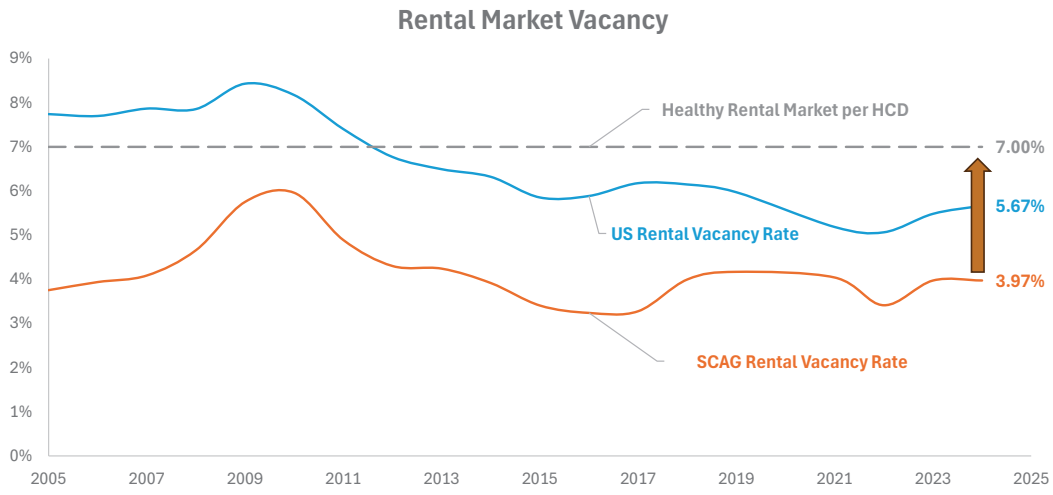
Add an estimate of how many units will be demolished, or consolidated, 2029-2038



- City gets +1 for each unit built, but losses have no effect
- Increase RHND by an estimate of what this will be in the future
- HCD uses DOF demolition survey data (2017-2026)
- 6,889 units

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0.6%	2.5%	0.5%

Get SCAG's vacancy rate up enough so there's enough "slack" in the market

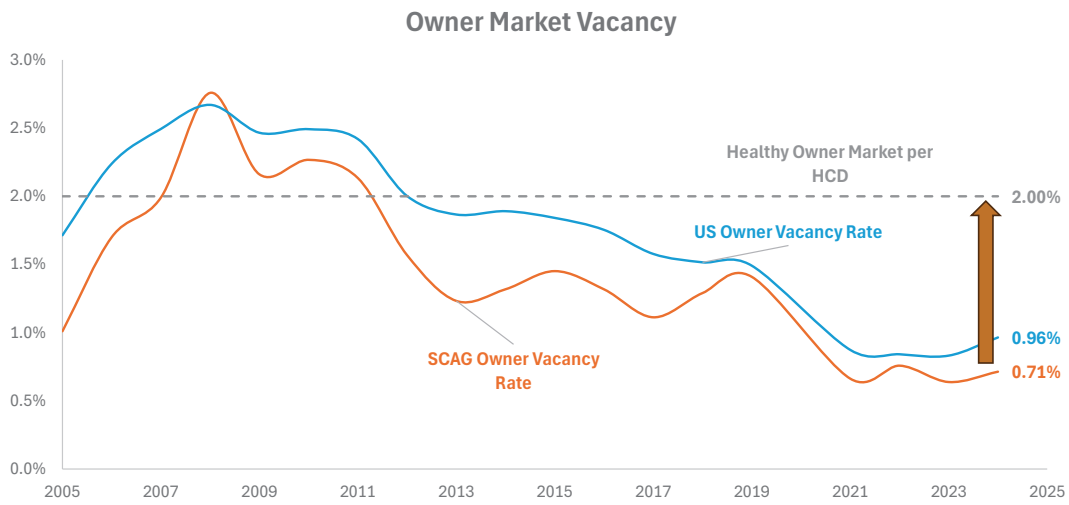


- Region's vacancy rate considered too low for housing market health
- More supply → hit target
- HCD standard for renter market: 7 percent *(statutory minimum of 5 percent)*
- HCD standard for owner market: 2 percent
- Add 131,589 units

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
3%	13%	11%

Data Source: For rent and for sale vacancy, US Census American Community Survey 1-Year Estimates, 2005-2024.

Get SCAG's vacancy rate up enough so there's enough "slack" in the market

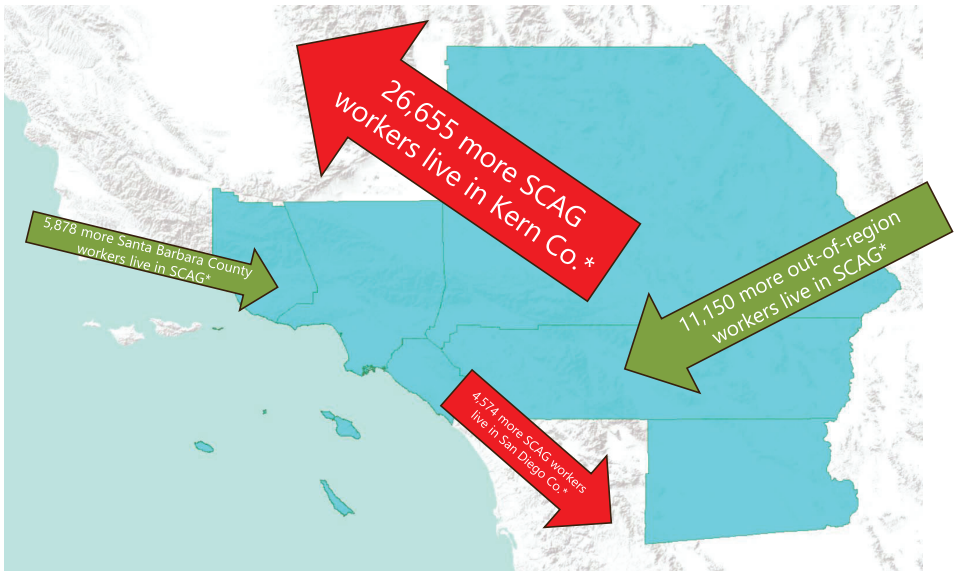


- Region's vacancy rate considered too low for housing market health
- More supply → alleviate condition
- HCD standard for renter market: 7 percent *(statutory minimum of 5 percent)*
- HCD standard for owner market: 2 percent
- Add 131,589 units

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
3%	13%	11%

Data Source: For rent and for sale vacancy, US Census American Community Survey 1-Year Estimates, 2005-2024.

Correct for inter-regional imbalances in *where the jobs → sleep at night:*

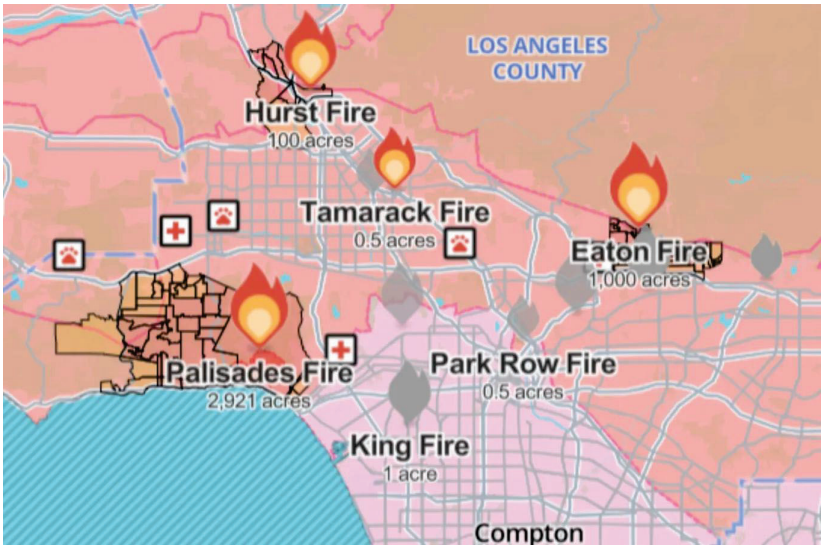


- New HCD adjustment to account for jobs-housing balance ***between*** regions
- SCAG is large and has very slightly more primary jobs than resident workers:
  - 7,602,382 primary jobs
  - 7,588,181 resident workers
- Add 9,467 units

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0%	0%	0.7%

*than vice-versa
Data Source: LEHD Origin-Destination Employment Statistics, 2023

State of emergency losses that haven't yet been rebuilt



- Ensure the region replaces recent emergency losses
- Use past 8 years
- 97% of losses are Palisades & Eaton Fires (LA County)
- 8,056 units reflects those lost, but not yet rebuilt **or** re-permitted *(as of RHND issuance)*

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0%	0%	0.6%

Homelessness adjustment

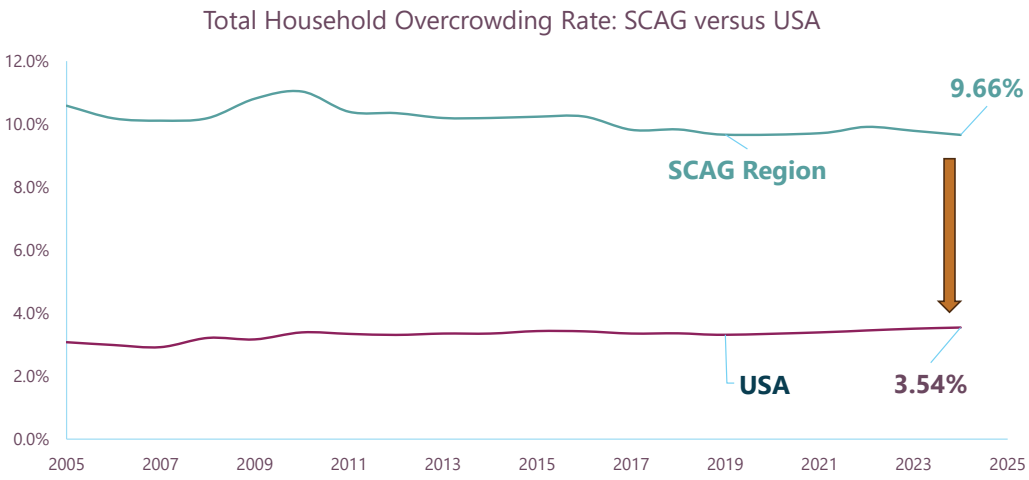


- Uses Jan/Feb 2025 "point in time" counts
- 91,310 unhoused people in SCAG region
- Multiply by household formation rate
- Add 38,646 units
- Only added to Acutely Low and Extremely Low income categories

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0%	0%	2.8%

Data Source: HUD Continuum of Care (CoC), 2025

Household overcrowding

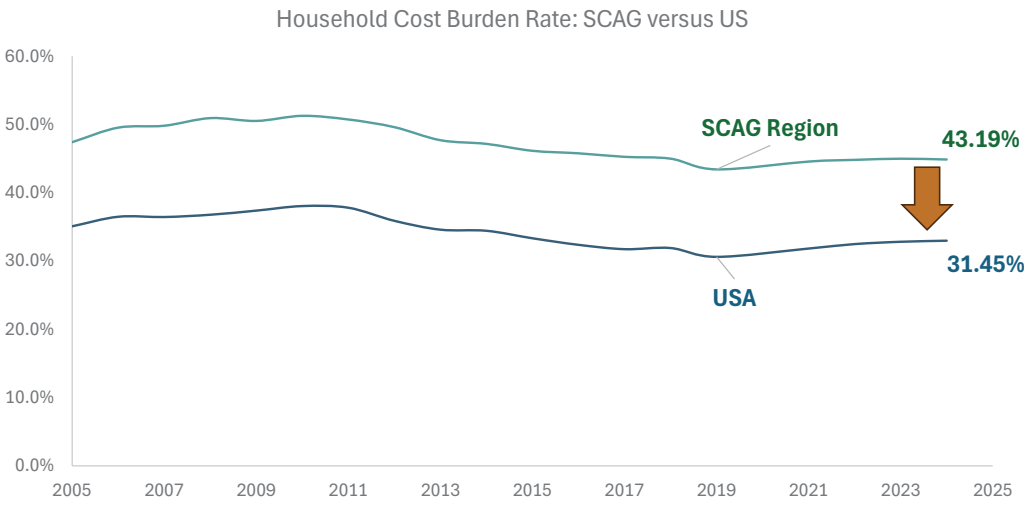


- Percent of households with more than 1.0 occupants per room
- Adding 398,400 units to help unbundle, e.g.:
  - Multiple families in single unit
  - Grown children living with parents
  - More roommates than desired
- Would these moves happen? Maybe; depends on many factors.
- Adding supply is one step.
- HCD adjustment reflects how many extra units this step would take.

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0%	34%	29%

Data Source: American Community Survey 1-year Estimates, 2005-2024

Household cost burden



- Percent of households spending more than 30 percent of income on housing cost
- Compare to national level
- Difference is 11.74%
- Multiply by the region's total households (6.5 million)
- Add 504,627 extra units to RHND

5th Cycle RHND:	6th Cycle RHND:	7th Cycle RHND:
0%	9%	37%

Data Source: American Community Survey 1-year Estimates, 2005-2024

Comparing major indicators of housing need

Major RHND Component	Data exist	Data indicate number of units	Explanation
Projected Population Growth, 2029-2037	✓	✓	DOF population projections
Projected Population Change *Higher per-capita housing consumption, i.e. aging*	✓	✓	Household formation rates
Losses due to demolition & emergency	✓	✓	Two separate adjustments
Healthy market vacancy	✓	✓	Two separate adjustments. Within existing stock, supply target: sufficient to reach 2% owner, 7% renter vacancy rate
Homelessness	✓	✓	Supply target: sufficient to reach zero homelessness
Households with more than 1.0 person per room *Overcrowding*	✓	✓	Supply target: sufficient to reach national overcrowding level
Households paying >30% of income on housing *Cost-burden*	✓	✗	A key indicator of pent-up **demand***

California's Housing Future 2040: The Next RHNA, p. 77

Staff Findings & Recommendations

- Staff finds HCD's determination of **projected housing need** to be a reasonable application of Government Code 65584.01.
  - This is reflective of both population growth, and the additional housing demands posed by an aging population.
- Staff finds *most* of HCD's assessments of **existing housing need** to be reasonable.
  - High-quality data
  - Sufficiently clear relationship between target and additional units (supply)
- Staff does not believe HCD's assessment of cost burden is a reasonable application of Government Code 65584.01

Objection & Proposed Alternative Determination

"The regional housing need determined by the department is not a reasonable application of the methodology and assumptions determined pursuant to subdivision (b)."GC 65584.01(c)(2)(B)

*"The objection **shall include a proposed alternative determination** of its regional housing need based upon the determinations made in subdivision (b), **including analysis of why the proposed alternative would be a more reasonable application** of the methodology and assumptions determined pursuant to subdivision (b)." GC 65584.01(b)(1)(A)(i)*

THANK YOU!

For more information, please visit:

https://scag.ca.gov/housing

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